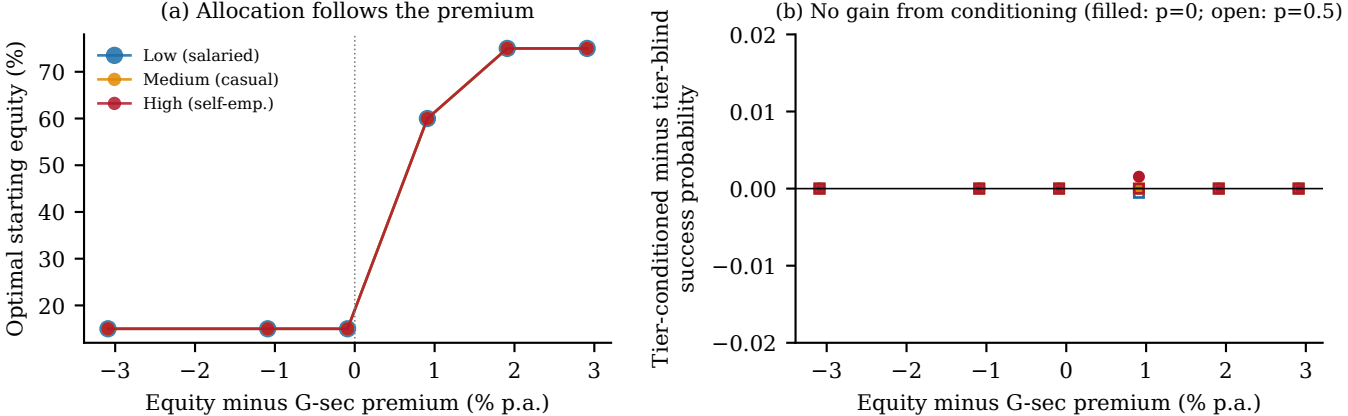
(a) Allocation follows the premium
Low (salaried)
Medium (casual)
High (self-emp.)
Optimal starting equity (%)
70
60
50
40
30
20
−3
−2
−1
0
1
2
3
Equity minus G-sec premium (% p.a.)
(b) No gain from conditioning (filled: p=0; open: p=0.5)
Tier-conditioned minus tier-blind success probability
0.02
0.01
0.00
−0.01
−0.02
−3
−2
−1
0
1
2
3
Equity minus G-sec premium (% p.a.)